

Gonka Network: Tokenomics Fine-Tuning Recommendations

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July 2026 Update Note

This document was written in February 2026 against Q1-2026 market assumptions. Key facts have changed materially and are corrected inline throughout:

- **GNK price:** GNK now has a live tracked price of ~\$0.13 (July 17-18, 2026; market cap ~\$13.9M, ~106M of 1B circulating), after an all-time high of \$2.61 (January 16, 2026) and all-time low of \$0.1258 (July 17, 2026) – a ~95% drawdown. GNK is still not listed on a major CEX; it trades OTC on HEX Exchange, on SafeTrade (GNK/USDT), and as wrapped GNK. All \$1.00-GNK-anchored figures in this document are modeling assumptions, not market prices.
- **Market regime:** Crypto is in a pronounced bear phase (total market cap ~\$2.26T, down ~43% from the October 2025 high; BTC ~\$64,000 with sustained ETF outflows). The “severe bear” contingency scenario in Recommendation 7 is approximately the live base case.
- **Competitive moat:** Akash activated Burn-Mint Equilibrium (March 23, 2026) and io.net’s Incentive Dynamic Engine went live (June 11, 2026) – though independent analysis of io.net’s own explorer indicates its burn is currently emission-funded rather than the marketed revenue buyback, with demand-driven emissions still switched off. Buyback-and-burn is no longer a marketing differentiator, but *revenue-funded* value return – and especially yield distribution to lockers – still is.
- **GPU market:** B200 shipped at the start of 2025, not Q3 2026, and H100 rental deflation stalled and partially reversed in 2026 (AI memory supercycle). The supercycle is decelerating from Q2’s ~60% QoQ pace but the deceleration is being revised upward: TrendForce raised its Q3/Q4 forecasts on July 8-9, 2026 (PC DRAM Q3 now +15-20% QoQ, up from 8-13%; server DRAM +13-18% with US CSP long-term agreements capping increases), and module maker ADATA reportedly sees Q3 DRAM up 20-30% and NAND up 35-40%. The 13-18% figure is now the conservative end, not the consensus – GPU-hardware-cost relief in 2027 looks less likely. GPU pricing sections are corrected inline.
- **Network size:** Live ecosystem sources now publish real-time network stats (gonka.gg with a free public API, gonkascan.com, gonkahub.com, tracker.gonka.vip). As of July 18, 2026, joingonka.ai’s live counter shows ~1,178 GPUs active, consistent with tracker.gonka.vip’s ~1,214 – far below the April 2026 snapshot of ~4,648 GPUs (~113 participants, ~582 MLNodes) and CoinMarketCap’s static “~5,000 H100” project description (stale marketing text; the announced February 2026 peak was ~14,000). The ~1,200 live figure is the correct active-mining denominator. The February 2026 figures used in this document’s baseline modeling (6,000 GPUs, 448 hosts) match no live source; per-GPU emission share at ~1,200 GPUs is ~5x the 6,000-GPU baseline, which lowers host break-even GNK price by the same factor.
- **Protocol security:** A security hotfix, v0.2.13-post7 (July 6, 2026), patched a PoC-v2 weight-validation vulnerability; per the official network-updates feed, host gonka1w7s4pharl5qs2lupxkuw2c0gzcls8chehwafg3 was detected exploiting the flaw before the fix deployed – the network’s first publicly disclosed live exploit attempt. The v0.2.14 chain upgrade is still an open PR (since July 8, 2026) and is not just “in preparation”: it adds PoC duplicate-artifact protection and deprecates the classic API – disabling billing on /v1/chat/completions – routing all paid inference through the devshard/broker path, which changes the fee-infrastructure picture modeled here (see Appendix, Network Parameters).
- **Regulatory:** The 2026 SEC “Project Crypto” posture (staff taxonomy statement, token safe-harbor direction) materially lowers the securities-risk differential assigned to direct veGNK yield. The SEC’s “Regulation Crypto” proposal is confirmed for its July 2026 rulemaking slot – a time-limited “Innovation Exemption” allowing raises up to \$75M in any 12-month period, a 12-36 month safe harbor, and an exit-from-securities mechanism – but it is still under White House OIRA review, and an operative rule is quarters away (proposal, comment period, final rule, compliance dates). Reported eligibility criteria target early-stage projects (valuation under \$5M within the first four years), which Gonka (mcap ~\$14M, launched 2025) may not satisfy. The CLARITY Act sits at Senate

Calendar No. 423 with no cloture motion and, as of July 17-18, no floor vote actually scheduled: bipartisan talks on ethics/law-enforcement provisions collapsed, prediction-market odds of passage fell from the low 70s to roughly 43%, and the July 17 event was only a House Financial Services field hearing (messaging, not legislation). The bill still needs ~7 Democratic votes for cloture, with Aug 7 the final session day before recess – treat passage as a coin-flip, not imminent. Separately, July 18, 2026 was the statutory deadline for six federal agencies (OCC, FDIC, Treasury, FinCEN, et al.) to finalize stablecoin implementing rules under the GENIUS Act – relevant to treasury/POL planning (USDC pairing legality and yield treatment) and to the stablecoin-yield dispute that is one of the blocks on CLARITY.

- **Timelines:** Calendar targets set in February 2026 (e.g., “Q2 2026”) that have passed without implementation should be read as offsets from adoption, not fixed dates.

1. Executive Summary

This document delivers 10 prioritized, parameterized recommendations for fine-tuning Gonka Network’s tokenomics. The recommendations synthesize findings from five parallel deep research investigations covering protocol-owned liquidity, real yield mechanisms, vote-escrowed governance, fee transition stress testing, and GPU market economics – drawing on 50+ sources, 12 protocol analyses, and academic research originally current to February 2026, with market facts updated to July 18, 2026.

Top 3 Critical Recommendations:

1. **Fee Transition Monitoring & Contingency Framework** (CRITICAL, immediate) – Deploy a real-time dashboard tracking the emission-to-fee crossover ratio and host profitability. Under conservative growth (10% annual developer growth), fee revenue does not exceed emission value until Year 4 at a modeled \$1.00 GNK; at the actual July 2026 price of ~\$0.13, hosts earn well below the document’s own ~\$0.85 breakeven estimate (a Feb 2026 figure computed on a 6,000-GPU baseline; the live network runs ~1,200 active GPUs as of July 18, 2026, so per-GPU emission share is ~5x higher and breakeven correspondingly lower – roughly ~\$0.17 on the same math – meaning ~\$0.13 GNK sits only modestly below breakeven for active hosts, though still short of rental parity). If Year 4 fee revenue falls below \$50M, activate tail emission contingency. This is the single largest existential risk to network sustainability.
2. **Protocol-Owned Liquidity Deployment** (HIGH, upon adoption) – Allocate 22M GNK (18.3% of Community Pool) to Uniswap v3 concentrated liquidity positions, 60% GNK/USDC and 40% GNK/ETH. The original sizing (13.2M GNK paired with \$13.2M USDC; \$40-45M total depth) assumed \$1.00 GNK; at ~\$0.13 GNK (July 2026), 22M GNK is worth ~\$2.9M and all dollar targets, paired-asset amounts, and price ranges must be rebased to the live price before the governance vote. The structural case is unchanged: <1% slippage at the 95th-percentile trade size and cost efficiency of \$0.50 deployed per \$1 TVL versus \$10 spent per \$1 retained under traditional liquidity mining.
3. **Enhanced Revenue Allocation with Real Yield** (HIGH, upon adoption) – Restructure the current 10% unallocated inference revenue into 5% continuous TWAP buyback-and-burn plus 5% real yield distribution to veGNK stakers. At \$25M annual inference revenue, this generates \$1.25M in buyback pressure and \$1.25M+ in staker yield. Buyback-and-burn is no longer unique among AI compute networks – Akash activated Burn-Mint Equilibrium in March 2026 and io.net’s IDE buyback-and-burn went live in June 2026 (though io.net’s burn is currently emission-funded, not revenue-funded) – but direct distribution of real revenue to lockers remains rare, and is now the moat to emphasize.

Decision Framework: Implement Phase A (quick wins) immediately to establish monitoring and demand-side growth. Phase B (core enhancements) requires smart contract development and governance votes. Phase C (advanced features) builds on Phase B infrastructure. Calendar targets from the February 2026 draft have slipped; read phase timelines as offsets from adoption.

Fee Transition Risk Summary: Gonka’s exponential emission decay (halving every ~4 years) means epoch rewards drop from 323,000 GNK/day at launch to 71,929 GNK/day by Year 8. Under conservative growth, fee revenue crosses over epoch reward value at Year 4 (modeled \$1 GNK) to Year 8-9 (modeled \$5 GNK); at the actual ~\$0.13 GNK (July 2026), the crossover sits beyond even the conservative case. The critical danger zone is Year 8-12 when emissions become negligible but fee revenue may not yet dominate. Mitigation: aggressive developer onboarding (targeting 25% annual growth), oracle-based USD pricing to stay competitive, and governance-activated tail emissions as a backstop.

2. Methodology

Research Program: Five parallel deep research investigations executed February 2026:

Investigation	Scope	Output
POL & Liquidity Management	Olympus, Berachain, Tokemak, Balancer, Uniswap v3; mercenary liquidity quantification	10,487 words, 42+ sources
Real Yield & Buybacks	GMX, Gains, Aave, Synthetix, Lido, Hyperliquid, MakerDAO, BNB, Curve, Frax, Sushi; 12 protocols	7,716 words, 12 protocol analyses
veToken & Governance	Curve, Convex, Velodrome, Balancer, PancakeSwap, Frax; quadratic voting, Sybil resistance, governance attacks	10,882 words, 6 protocol deep-dives
Fee Transition Stress Test	Bitcoin, Ethereum, Bittensor, Filecoin, Akash; 3-scenario modeling, EIP-1559 sensitivity	8,839 words, academic papers
GPU Economics & Developer Growth	GPU deflation modeling, competitive pricing, developer acquisition, floor defense, oracle integration	8,306 words, 40+ sources

Synthesis: Findings integrated into three updated reference documents (Macro Research v2.0, Deep Analysis v3.0, Stakeholder Guide v3.0) before distillation into these recommendations.

Date of Research: February 2026, with a fact-check pass on July 18, 2026. GNK price, GPU market pricing, competitor tokenomics, regulatory posture, and protocol-version facts are updated to July 2026 where verified; modeled figures (crossover years, POL sizing at \$1.00 GNK, budget estimates) remain February 2026 estimates and are labeled as such.

3. Recommendation Matrix

#	Recommendation	Priority	Complexity	Impact	Timeline	Dependencies
1	Fee Transition Monitoring & Contingency	CRITICAL	LOW	HIGH	Immediate	None
2	Protocol-Owned Liquidity (POL)	HIGH	MEDIUM	HIGH	Q2 2026	Governance vote, paired assets
3	Enhanced Revenue Allocation (Buyback + Yield)	HIGH	MEDIUM	HIGH	Q3 2026	Smart contract, veGNK (partial)
4	Developer Onboarding Acceleration	HIGH	LOW	HIGH	Immediate	Marketing budget
5	Oracle-Based USD Pricing	HIGH	MEDIUM	HIGH	Q2-Q3 2026	Pyth/Chainlink integration
6	veGNK Governance (Phase 1)	MEDIUM-HIGH	HIGH	HIGH	Q3-Q4 2026	Smart contract audit
7	GNK Floor Price Defense	MEDIUM	MEDIUM	MEDIUM	Q3 2026	Oracle, treasury USDC
8	EIP-1559 Parameter Optimization	MEDIUM	LOW	MEDIUM	Q3 2026	Testnet validation
9	GPU Pricing Competitive Tracking	MEDIUM	LOW	MEDIUM	Immediate	Off-chain infrastructure
10	veGNK Advanced Features (Phase 2-3)	LOW-MEDIUM	HIGH	MEDIUM	2027	veGNK Phase 1 live

Reading the matrix: Priority reflects urgency and risk mitigation value. Complexity reflects implementation effort. Impact reflects expected effect on network health, token value, and sustainability. Timeline entries are the original February 2026 calendar targets; those already passed (Q2 2026) should be re-planned as offsets from adoption.

4. Detailed Recommendations

Recommendation 1: Fee Transition Monitoring & Contingency Framework

Priority: CRITICAL | **Timeline:** Immediate | **Complexity:** LOW

Current State

Gonka's emission schedule decays exponentially at rate 0.000475 per epoch from 323,000 GNK/day initial. Live explorers now publish real-time participant/GPU counts (gonka.gg with a free public API, gonkascan.com, gonkahub.com, tracker.gonka.vip), but no monitoring infrastructure exists to track the emission-to-fee crossover ratio, host profitability thresholds, or early warning indicators. The network has no contingency plan if fee revenue growth lags projections. The proposed dashboard should build on the existing explorer APIs rather than new data collection.

Proposed Enhancement

Deploy a real-time monitoring dashboard and governance-activated contingency framework.

Dashboard Metrics (deploy within 30 days):

Metric	Formula	Warning Threshold	Critical Threshold
Fee Revenue Ratio	$\text{Annual_Fee_Revenue} / (\text{Annual_Fee_Revenue} + \text{Annual_Emission_Value})$	<40% at Year 4	<25% at Year 6
Host Profitability Index	$(\text{Emission_Revenue} + \text{Fee_Revenue}) / \text{Traditional_Rental_Revenue}$	<1.5x	<1.0x
Developer Growth Rate	$\text{New_Active_Devs} / (\text{Prior_Period_Active_Devs} - 1)$	<10% annual	<5% annual
Network Utilization	$\text{Active_GPU_Hours} / \text{Total_Available_GPU_Hours}$	<30%	<15%
GNK Breakeven Price	$(\text{Host_Cost} - \text{Fee_Income}) / \text{Daily_GNK_Earned}$	>\$2.00	>\$5.00

Contingency Triggers (governance-approved thresholds):

- **Trigger A** – Year 4 fee revenue < \$50M (vs. \$96.9M conservative baseline): Activate enhanced developer subsidies (8M GNK/year from Community Pool)
- **Trigger B** – Host churn > 20% annually for 2 consecutive quarters: Activate host efficiency programs and consider tail emissions
- **Trigger C** – Fee growth < 5% annually for 2 consecutive years after Year 6: Governance vote on tail emissions (10,000 GNK/day, ~0.36% annual inflation)

Tail Emission Design (contingency only):

- Rate: 10,000 GNK/day (3.1% of initial emission rate)
- Duration: 5-year activation, then re-vote
- Distribution: Same PoC-weighted allocation as mining rewards
- Inflation: 0.36% annually at 1B supply – below Ethereum PoS (~4-6%)

Expected Impact

- Early detection of fee transition risks 12-24 months before they become critical
- Governance has pre-approved contingency actions, reducing reaction time from months to days
- Host confidence increases when they can see profitability projections on-chain

Implementation Complexity

- Dashboard: Off-chain analytics (Dune Analytics or equivalent), 2-4 weeks development
- Contingency framework: Governance proposal document, no smart contract required initially

- Tail emission: Smart contract modification if activated, estimated 4-6 weeks development + audit

Risk Assessment

Risk	Probability	Impact	Mitigation
Dashboard data inaccurate	Low	Medium	Cross-validate with on-chain data, multiple data sources
Contingency triggers too conservative	Medium	Low	Governance can adjust thresholds via standard vote
Tail emission creates moral hazard	Low	Medium	Time-limited activation, declining rate, requires supermajority

Success Metrics

KPI	Target	Measurement
Dashboard live	Within 30 days	Deployment confirmation
Contingency proposal approved	Within 60 days	Governance vote passed
Fee Revenue Ratio at Year 2	>30%	Dashboard metric
Developer Growth Rate	>15% annual	Active developer count

Recommendation 2: Protocol-Owned Liquidity (POL)

Priority: HIGH | **Timeline:** Q2 2026 | **Complexity:** MEDIUM

Current State

Gonka has a 120M GNK Community Pool with no protocol-owned liquidity. All market liquidity depends on external market makers and exchange listings. Traditional liquidity mining retains only 10-25% of incentivized liquidity after emissions cease and costs \$10 per \$1 of retained TVL.

Proposed Enhancement

Allocate 22M GNK from Community Pool to concentrated Uniswap v3 positions.

July 2026 recalibration: The pair structure below was sized at a modeled \$1.00 GNK. At the live ~\$0.13 GNK price, 22M GNK is worth ~\$2.9M, so the dollar amounts of paired assets, the absolute price ranges, and the depth/fee-revenue targets in this recommendation must be rebased to the prevailing price before the governance vote. The allocation percentages, fee tiers, and range widths (relative +-25/+35%) remain the recommendation.

Pair Structure (February 2026 sizing at \$1.00 GNK):

Pair	Allocation	GNK Amount	Paired Asset	Fee Tier	Range	Capital Efficiency
GNK/USDC	60%	13,200,000 GNK	\$13,200,000 USDC	0.3%	-25%/+35% around spot (\$0.75-\$1.35 at \$1.00)	4.2x vs. full range
GNK/ETH	40%	8,800,000 GNK	~2,933 ETH (~\$8.8M)	0.3%	+/-35% from current ratio	3.8x vs. full range

GNK/USDC rationale: Primary pair for price discovery and host cashouts. Hosts earn GNK and need USDC to cover GPU electricity and hardware costs. Lower IL exposure for the protocol treasury.

GNK/ETH rationale: DeFi composability pair. Enables GNK use as collateral on Aave/Compound, cross-chain bridge liquidity, and attracts Ethereum-native liquidity providers.

Rebalancing Parameters:

- Frequency: Quarterly or when price exits range (estimated 2-4 times/year)
- Cost: ~\$900/year in gas (0.16% of LP fee revenue – negligible)
- Trigger: Price within 10% of range boundary or price exits range
- Execution: Treasury multisig with governance oversight

Paired Asset Sourcing Strategy:

Source	Amount	Timeline	Mechanism
Protocol revenue (first 6 months)	\$2-5M	Months 1-6	Accumulate from early inference fees
OTC negotiation with Bitfury	\$5-10M	Pre-deployment	Negotiate USDC/ETH from strategic partner
Governance-approved Community Pool sale	\$5-10M	If needed	Sell 5-10M GNK OTC for paired assets; the SEC's Innovation Exemption (raises up to \$75M per 12 months) might eventually open a compliant public-sale route, but the rule is still at OIRA (operative rule quarters away) and reported eligibility limits (valuation under \$5M within four years) may exclude Gonka – do not plan around it
Phase 1 partial deployment	Deploy with available assets	Immediate	Start with whatever paired assets exist

Governance Proposal (GIP-001) Structure:

- Quorum: 33.4% of total supply
- Majority: >50% approval
- Vote period: 7 days
- Execution: Within 30 days of approval

Expected Impact

- \$40-45M total liquidity depth across both pairs (Feb 2026 sizing at \$1.00 GNK; ~\$5.8M at \$0.13 GNK unless the allocation is enlarged)
- <1% slippage on \$40K trades (95th percentile trade size, Feb 2026 estimate)
- \$550K-\$1.1M annual LP fee revenue (3-6% APR on deployed capital; scales with rebased TVL)
- 100% liquidity retention (vs. 15-25% for mercenary capital)
- Cost efficiency: \$0.50 per \$1 TVL (20x cheaper than traditional LM)

Implementation Complexity

- No smart contract development required (uses existing Uniswap v3 infrastructure)
- Governance proposal drafting: 1-2 weeks
- Paired asset acquisition: 2-8 weeks (depends on source)
- Deployment execution: 1-2 days
- Monitoring dashboard: 1-2 weeks (Dune Analytics)

Risk Assessment

Risk	Probability	Impact	Mitigation
Impermanent loss on GNK price decline	Medium	Medium	Concentrated ranges limit exposure; 80/20 Balancer pool as diversification option
Paired asset shortage (USDC/ETH)	Medium-High	Medium	Phased deployment, OTC negotiation, partial start
Governance rejection	Low	High	Clear communication: POL retains 100% vs. 15-25% for LM; 0.50/ vs 10/
Smart contract exploit (Uniswap v3)	Very Low	High	Uniswap v3 audited, \$100B+ TVL track record

Success Metrics

KPI	Target	Timeline
TVL deployed	\$40-45M	Month 3 post-vote
Daily trading volume	\$500K-\$1M	Month 6
LP fee revenue (annualized)	\$550K-\$1.1M	Month 6
Slippage for \$40K trade	<1%	Immediate post-deployment
Rebalancing frequency	<4x/year	Year 1

Recommendation 3: Enhanced Revenue Allocation (Buyback + Real Yield)

Priority: HIGH | **Timeline:** Q3 2026 | **Complexity:** MEDIUM

Current State

Gonka's current inference revenue allocation is 70% hosts / 20% AI Training Fund / 10% unallocated. The 10% unallocated creates no value. The AI Training Fund accumulates indefinitely with no surplus mechanism. No buyback or staking yield exists.

Proposed Enhancement

Restructure revenue to 70/20/5/5 with surplus distribution.

```
Inference Revenue: 100%
|-- 70% -> Hosts (UNCHANGED)
|-- 20% -> AI Training Fund (UNCHANGED)
|   |-- [Surplus above 6-month runway] -> veGNK holders (bonus real yield)
|-- 5% -> GNK Buyback-and-Burn (NEW: continuous TWAP, burn all purchased GNK)
|-- 5% -> veGNK Staker Yield Pool (NEW: weekly claim in GNK or USDC)
```

Base Fee: 100% BURNED (UNCHANGED -- EIP-1559 mechanism)

Buyback Mechanism Parameters:

Parameter	Value	Rationale
Allocation	5% of inference revenue	Meaningful at scale, conservative at launch
Execution	Continuous TWAP, 15-minute intervals, 96 buys/day	Minimizes front-running and slippage
Max slippage per order	0.5%	Prevents adversarial MEV extraction
Minimum order size	\$10	Avoids dust transactions
Destination	Burn address (0x0...dead)	Permanent supply reduction
Dip-buying acceleration	3x normal rate when GNK >20% below 30-day TWAP	Opportunistic accumulation
Governance pause	33.4% quorum + >50% majority; auto-resumes after 30 days	Emergency override

AI Training Fund Surplus Design (MakerDAO Surplus Buffer model):

Parameter	Value
Runway target	6 months of average monthly expenses
Surplus calculation	$\text{Fund_Balance} - (\text{Monthly_Expenses} \times 6)$
Distribution eligibility	veGNK holders only (proportional to veGNK balance)
Distribution frequency	Weekly
Governance adjustable	Runway target (3-12 months) via standard vote

Revenue Impact at Scale:

Annual Revenue	Host Share (70%)	AI Fund (20%)	Buyback-Burn (5%)	Yield Pool (5%)
\$5M	\$3.5M	\$1.0M	\$250K	\$250K
\$25M	\$17.5M	\$5.0M	\$1.25M	\$1.25M
\$100M	\$70M	\$20M	\$5M	\$5M
\$500M	\$350M	\$100M	\$25M	\$25M

Competitive Advantage (updated July 2026): Buyback-and-burn is no longer a marketing differentiator. Akash activated Burn-Mint Equilibrium via Mainnet 17 on March 23, 2026 – all on-chain compute spend triggers a market buy-and-burn of AKT. io.net's Incentive Dynamic Engine went live June 11, 2026 (announced alongside an \$8M enterprise deal, ~\$650K/month), marketed as committing at least 50% of surplus revenue to IO buyback-and-burn and targeting ≥ 12 M IO removed in year one – but independent analysis of io.net's own explorer indicates the burn is currently emission-funded rather than revenue-funded, with demand-driven emissions still switched off. Render has long used burn-mint equilibrium; Bittensor remains purely emission-based. What remains genuinely rare is *routing real revenue to lockers*: none of these networks pay protocol revenue to token lockers, and the largest marketed "revenue" burn is not yet revenue-backed. Gonka's 5% veGNK yield pool funded by actual inference revenue – not the 5% burn – is the moat, and messaging should lead with it.

Expected Impact

- At \$25M annual revenue: 1.25M GNK burned/year (0.125% supply reduction) + \$1.25M staker yield
- Combined with base fee burns: potential net deflationary by Year 3-5
- Reflexive value loop: more revenue -> more burns -> higher price -> more revenue
- veGNK staker APR: 5-15% real yield (competitive with GMX, Curve, Aave)

Implementation Complexity

- Smart contract: Buyback engine (TWAP contract), yield distribution contract, surplus calculation
- Estimated development: 8-12 weeks
- Audit required: Yes (handles protocol funds)
- External dependency: DEX liquidity (Uniswap v3 GNK pair must exist – ties to Recommendation 2)

Risk Assessment

Risk	Probability	Impact	Mitigation
Regulatory classification as security	Low (further reduced by 2026 SEC posture)	High	2026 SEC “Project Crypto” (Jan 28 staff taxonomy statement, Mar 17 token safe-harbor direction) largely classifies governance/utility tokens sold for use as “digital tools,” not securities. The SEC’s July 2026 “Regulation Crypto” rulemaking (Innovation Exemption up to \$75M/12mo, 12-36 month safe harbor, exit-from-securities mechanism) would further de-risk direct veGNK yield, but is still at OIRA with an operative rule quarters away, and its early-stage eligibility criteria may exclude Gonka. CLARITY Act: no floor vote scheduled as of July 17-18 after ethics-provision talks collapsed; passage odds ~43% with Aug 7 the last session day – maintain conservative positioning until rules or statute are final. Note also the GENIUS Act stablecoin implementing rules (six-agency finalization deadline July 18, 2026), which bear on USDC yield treatment
Buyback front-running	Low	Low	Continuous TWAP with 15-min intervals makes front-running unprofitable
AI Training Fund underfunded	Low	Medium	6-month runway threshold ensures operational reserves before any distribution
Revenue too low for meaningful buyback	Medium (early)	Low	Mechanism scales automatically; even small burns compound over time

Success Metrics

KPI	Target	Timeline
Buyback active	Continuous execution	Month 1 post-launch
Annual GNK burned (buyback)	>0.1% of supply	Year 1
veGNK staker APR	5-15%	Year 1 (depends on revenue)
Net deflationary status	Burns > emissions	Year 3-5

Recommendation 4: Developer Onboarding Acceleration

Priority: HIGH | **Timeline:** Immediate | **Complexity:** LOW

Current State

Gonka has ~2,200 active developers (Feb 2026 estimate; not verifiable against July 2026 live sources). Fee transition analysis reveals that 15-25% annual developer growth is required to maintain host profitability as emissions decay. The OpenAI-compatible API reduces migration friction to near-zero (change 2 lines of code), but no structured onboarding program exists.

Proposed Enhancement

Launch a 3-phase developer acquisition program targeting 25,000 active developers within 36 months.

Phase 1: Foundation (Months 1-6) – Budget: 1.85M GNK

Initiative	Budget	Expected Outcome	Cost/Developer
Free tier (100 inferences/day)	500K GNK	5,000 signups, 500 active	\$50-100
“OpenAI to Gonka in 5 Minutes” migration guide	50K GNK	1,000 migrations	\$25-50
Hackathon sponsorship (3 events)	300K GNK	300 active builders	\$500
\$50 compute credits per new developer	1M GNK	2,000 claimants	\$50

Phase 2: Growth (Months 7-18) – Budget: 1.7M GNK

Initiative	Budget	Expected Outcome	Cost/Developer
Developer grants (10 x \$25K)	500K GNK	50 high-value builders	\$5,000
University program (20 institutions)	200K GNK	2,000 student developers	\$50
LangChain/LlamaIndex official integration	300K GNK	5,000 framework users	\$30
Enterprise pilot program (20 companies)	500K GNK	20 enterprise accounts	\$12,500
Referral program (“bring a friend”)	200K GNK	2,000 referred developers	\$50

Phase 3: Scale (Months 19-36) – Budget: 5M GNK

Initiative	Budget	Expected Outcome
Ecosystem fund for 100+ projects	5M GNK	10,000+ organic developers
Self-service growth (network effects)	Minimal	Accelerating organic adoption

Cumulative Targets:

Milestone	Active Developers	Growth Rate
Month 6	6,000	173% (from 2,200 base)
Month 18	15,000	150%
Month 36	25,000	67%

Total Budget: 8.55M GNK (~7.1% of Community Pool) **Blended Acquisition Cost:** \$150-500 per active developer (in line with 2026 benchmarks) **Marketing Message:** “Same API. 70% Less Cost. Censorship-Resistant.”

Expected Impact

- 25% annual developer growth sustains moderate fee transition scenario
- \$50 free credits generate 12x ROI if developers convert to paid usage
- LangChain/LlamaIndex integration unlocks 100K+ existing framework users as potential Gonka users
- Enterprise pilots at \$12,500/customer generate \$100K+ lifetime value

Implementation Complexity

- Free tier: Configuration change, minimal development
- Migration guide: Documentation effort, 1-2 weeks
- Compute credits: Smart contract or manual distribution, 2-4 weeks
- Enterprise program: Business development, ongoing

Risk Assessment

Risk	Probability	Impact	Mitigation
Free tier abuse (bots, farming)	Medium	Low	Rate limiting, progressive verification
Low conversion from free to paid	Medium	Medium	Generous free tier proves value before paywall
Enterprise sales cycle too long	High	Low	Focus on self-service growth first; enterprise is supplementary

Success Metrics

KPI	Target	Timeline
Monthly active developers	6,000	Month 6
Free-to-paid conversion	>5%	Month 6
Monthly inference volume growth	>10% MoM	Ongoing
Developer NPS (satisfaction)	>50	Month 12

Recommendation 5: Oracle-Based USD Pricing

Priority: HIGH | **Timeline:** Q2-Q3 2026 | **Complexity:** MEDIUM

Current State

Gonka prices inference in GNK terms via EIP-1559 dynamic pricing. This creates a dual volatility problem: GPU rental prices move independently of GNK, which fluctuates with market sentiment. (The Feb 2026 assumption of 30-50% annual GPU deflation no longer holds – H100 rental deflation stalled and partially reversed in 2026 amid the AI memory supercycle, with centralized clouds raising prices. Volatility now cuts both ways, which strengthens rather than weakens the case for USD-denominated pricing.) When GNK appreciates, Gonka becomes uncompetitive in USD terms. When GNK depreciates – as through mid-2026, with GNK at ~\$0.13 – hosts earn less in USD terms.

Proposed Enhancement

Implement oracle-based USD pricing with GNK settlement.

Architecture:

Developer Request -> Gonka Pricing Engine:

1. Pull GNK/USD from Pyth Network (400ms latency)
2. Look up base price in USD (governance-set, competitive with market)
3. Apply EIP-1559 multiplier (utilization-based adjustment)
4. Convert USD price to GNK using real-time oracle rate
5. Developer pays GNK amount, receives inference

Oracle Stack (Hybrid):

Layer	Source	Latency	Use Case
GNK/USD Price Feed	Pyth (primary) + Chainlink (fallback)	400ms / 1hr heartbeat	Per-inference pricing conversion
GPU Market Rate Feed	Custom off-chain aggregator - > Pyth publisher	Hourly	Base price calibration
Floor Defense Price Feed	Chainlink (primary) + Pyth (confirmation)	1hr + deviation-triggered	Trigger evaluation
Competitive Benchmark	UMA Optimistic Oracle	Weekly	Governance pricing decisions

Target Pricing (H100-equivalent, USD/hr, July 2026 market):

Position	Target \$/hr	Rationale
Aggressive growth	\$1.50-2.00	Undercuts the July 2026 market median (\$2.29-3.12); maximizes developer acquisition
Balanced (recommended)	\$2.00-2.50	At/just below market median with host profitability
Premium decentralized	\$2.50-3.00	Emphasize reliability and API quality

Competitive Positioning (July 2026 H100 market):

Hyperscaler on-demand (\$7–8/hr, Azure/AWS) <- Enterprise, compliance-heavy
 Market median (\$2.29–3.12/hr) <- Specialized clouds, mainstream supply
 [GONKA TARGET] (\$2.00–2.50) <- Cost-optimized, API-compatible, censorship-resistant
 Budget decentralized (\$1.40–1.99/hr) <- Spot/best-effort (floor: Thunder Compute ~\$1.40)

Note: the Feb 2026 draft targeted the same \$2.00-2.50 band against a then-deflating market. With deflation stalled and the latest cohort median at ~\$3.15/hr (AIMultiple, July 2026) – mild firming, not just stabilization – this band is now at-to-below market, and the aggressive tier may be needed to preserve a clear cost advantage.

Expected Impact

- Eliminates dual volatility problem entirely
- Developers see stable USD pricing regardless of GNK price movements
- Hosts earn competitive USD-equivalent revenue regardless of GNK volatility
- EIP-1559 now adjusts the USD-denominated base (not GNK-denominated), making convergence faster and more meaningful

Implementation Complexity

- Pyth integration: 2-4 weeks (SDK available)
- Chainlink feed creation: 4-8 weeks (requires partnership or self-funded feed)
- Pricing engine modification: 4-6 weeks
- GPU market rate aggregator: 2-4 weeks (off-chain service)
- Total estimated: 3-5 months

Risk Assessment

Risk	Probability	Impact	Mitigation
Oracle manipulation	Very Low	High	Dual-oracle (Pyth + Chainlink) with deviation checks
Oracle downtime	Low	Medium	Chainlink 1hr heartbeat as fallback; cache last known price
GNK/USD feed doesn't exist yet	High	Medium	Self-fund Pyth publisher or negotiate Chainlink partnership

Success Metrics

KPI	Target	Timeline
Oracle integration live	Pyth + Chainlink	Month 4
Price deviation from USD target	<5% at all times	Ongoing
Developer price complaints	Zero "too expensive" reports from GNK appreciation	Ongoing

Recommendation 6: veGNK Governance (Phase 1)

Priority: MEDIUM-HIGH | **Timeline:** Q3-Q4 2026 | **Complexity:** HIGH

Current State

Gonka uses 1-token-1-vote governance. The 200M founder allocation (20% of supply) could dominate governance. Current system is vulnerable to flash loan governance attacks (buy tokens, vote, sell). No mechanism aligns governance power with long-term commitment.

Proposed Enhancement

Deploy veGNK: vote-escrowed GNK with linear time-weighted voting power.

Phase 1 Parameters (Q3-Q4 2026):

Parameter	Value	Rationale
Minimum lock	1 month (30 days)	Filters transient holders; lower barrier than Curve's 1 week
Maximum lock	2 years (730 days)	Aligns with AI infrastructure planning cycles; extend to 4 years in Phase 2 if adoption strong

Parameter	Value	Rationale
Voting power formula	$\text{veGNK} = \text{GNK_locked} \times (\text{lock_time_remaining} / 730 \text{ days})$	Linear decay, proven in 90% of ve protocols
Early exit	Not permitted	Maximum commitment, prevents gaming
Transferability	Non-transferable	Prevents vote buying on secondary markets
Collateral separation	veGNK does NOT count as host collateral	Clean separation; locked GNK cannot be slashed
Max boost (Phase 2)	2.5x on AI Training Fund yield	Standard across ve protocols (Curve, Balancer)

veGNK Voting Power Example:

GNK Locked	Lock Duration	veGNK Received	Voting Power
1,000 GNK	2 years (max)	1,000 veGNK	Full
1,000 GNK	1 year	500 veGNK	50%
1,000 GNK	6 months	250 veGNK	25%
1,000 GNK	1 month (min)	~42 veGNK	4.2%

Founder Allocation Impact:

Scenario	Founder veGNK	% of Total veGNK (if 40% lock rate)	Assessment
Founders don't lock	0	0%	Community controls governance
Founders lock 1 year	100M veGNK	33% of ~300M total	Significant but not dominant
Founders lock 2 years (max)	200M veGNK	67% of ~300M total	Problematic – needs monitoring

Mitigation: Encourage broad GNK distribution before veGNK launch. Implement delegation so community can aggregate voting power. Monitor governance concentration; consider voluntary founder lock caps.

July 2026 – delegation concentration is now a demonstrated risk, not a theoretical one. The July 15, 2026 network update issued explicit guidance “Do not delegate to guardian nodes” after concentrated guardian delegations caused Kimi K2.6 to lose validation majority (epochs 328-329). Guardians are now positioned as fallback-only, and the protocol team is pushing delegation distribution across independent hosts as a systemic-risk mitigation. Any veGNK delegation design (here and in Rec #10) must inherit this constraint: cap or disincentivize delegation to guardian/genesis entities and monitor delegate concentration from day one.

Governance Changes:

Parameter	Current	With veGNK
Quorum	33.4% of total GNK	33.4% of total veGNK
Majority	>50% of votes	>50% of veGNK votes
Veto	>33.4% of votes	>33.4% of veGNK votes
Flash loan vulnerability	HIGH (buy, vote, sell)	ZERO (can't borrow locked tokens)

Expected Impact

- 35-50% of circulating GNK locked as veGNK (benchmark: 40% average across ve protocols)
- Flash loan governance attacks become impossible
- Long-term holders gain proportionally more voting power
- Real yield distribution (Rec #3) to veGNK holders creates lock-up flywheel

Implementation Complexity

- Smart contract development: 8-12 weeks (veGNK locking contract, voting integration)
- Security audit: 4-6 weeks (critical – handles locked user funds)
- Governance transition: 2-4 weeks (migrate from token-weighted to veGNK-weighted)
- Total: 4-6 months

Risk Assessment

Risk	Probability	Impact	Mitigation
Low adoption (<20% lock rate)	Medium	Medium	Strong real yield incentive from Rec #3; minimum 1-month lock is low barrier
Governance concentration by founders	Medium	High	Monitor lock distribution; implement delegation; voluntary caps
Smart contract bug in veGNK	Low	Very High	Formal verification, multiple audits, time-locked upgrade path
User confusion	Medium	Low	Clear documentation, phased rollout, community education

Success Metrics

KPI	Target	Timeline
veGNK deployed	Contract live on mainnet	Q4 2026
Lock rate	>25% within 6 months	Q2 2027
Average lock duration	>8 months	Q2 2027
Governance participation	>15% of veGNK voting on proposals	Q2 2027
Flash loan attacks	Zero	Ongoing

Recommendation 7: GNK Floor Price Defense

Priority: MEDIUM | **Timeline:** Q3 2026 | **Complexity:** MEDIUM

Current State

Bitfury purchased \$12M GNK at \$0.60 (20M GNK) as the first tranche of a \$50M total investment commitment announced December 1, 2025 (framed publicly as the opening of a ~\$1B plan to decentralize AI compute). The \$0.60 purchase price created a psychological Schelling point – which has since decisively failed: GNK fell through \$0.60, through both proposed trigger levels (\$0.45, \$0.30), to an all-time low of \$0.1258 on July 17, 2026. No programmatic floor defense mechanism exists, and the sustained bear market this recommendation treated as a tail scenario is now the live base case. All absolute trigger levels below must be reset against current market conditions, and the remaining ~\$38M of Bitfury's commitment should be factored into treasury and defense planning.

Proposed Enhancement

Deploy a treasury-managed, rules-based TWAP buyback mechanism with tiered triggers.

Trigger Architecture (absolute levels are Feb 2026 values, already breached; reset relative to prevailing price at deployment – the TWAP-relative triggers remain valid as designed):

Tier	Trigger Condition	Daily Buyback Rate	Max Duration
Tier 1	GNK < 75% of 30-day TWAP	0.5% of defense treasury/day	30 days
Tier 2	Absolute floor (was \$0.45; reset at deployment) OR < 60% of 30-day TWAP	1.0% of defense treasury/day	60 days
Tier 3	Crisis floor (was \$0.30; reset at deployment)	2.0% of defense treasury/day	90 days
Emergency	Governance vote	Up to 5% of total treasury	As voted

Treasury Allocation:

Source	Annual Amount	Purpose
Community Pool conversion	Up to 6M GNK/year (5%)	Convert to USDC for buyback treasury
Inference revenue share	5-10% of net revenue	Ongoing floor defense funding
Target treasury balance	2-5M USDC equivalent	6-12 months of Tier 1 defense capacity

Execution Parameters:

Parameter	Value
Execution method	24-hour TWAP, hourly sub-orders
Execution venue	GNK/USDC pool (Uniswap v3)
Slippage limit	1% per sub-order

Parameter	Value
Price ceiling	Do not buy above trigger price (prevents buying into recovery)
Purchased GNK	Burn (governance can override to lock)
Transparency	All triggers and transactions on-chain, public dashboard

Floor Defense is a Speed Bump, Not a Wall:

- Mild correction (-20%): Defense holds, treasury spends \$50-100K, price recovers
- Moderate bear (-40%): Defense slows decline, treasury spends \$300-500K
- Severe bear (-60%+, 6+ months): Treasury depleted, defense fails – fundamentals must improve. **This is the live scenario as of July 2026** (GNK ~95% off its January 2026 high; total crypto market cap down ~43% year-over-year); treasury-depletion estimates must be recalibrated against it before deployment
- Stop conditions: Treasury < 20% of initial allocation, or buyback spending > 3 months of revenue

Expected Impact

- Replaces the failed \$0.60 Schelling point with programmatic, transparent backing at recalibrated levels
- Slows price declines during market stress, providing time for fundamentals to recover
- On-chain transparency builds market confidence
- Purchased GNK is burned, creating permanent supply reduction during downturns

Implementation Complexity

- Smart contract: TWAP buyback engine, trigger evaluation, treasury vault – 6-8 weeks
- Oracle dependency: Chainlink GNK/USD feed required (ties to Rec #5)
- Audit: Required (handles treasury funds)
- Total: 3-4 months

Risk Assessment

Risk	Probability	Impact	Mitigation
Treasury depletion in prolonged bear	Medium	High	Stop conditions, governance override, revenue replenishment
Trigger manipulation (oracle attack)	Very Low	High	Dual-oracle validation, 30-day TWAP smoothing
Community opposition to selling GNK for USDC	Medium	Medium	Clear ROI analysis: \$0.50 floor defense cost vs. \$10 for re-acquiring liquidity

Success Metrics

KPI	Target	Timeline
Floor defense deployed	Contract live	Q3 2026
Treasury funded	>\$2M USDC	Q3 2026
GNK price above recalibrated Tier 2 floor	100% of time post-deployment	Ongoing
Defense activations per year	<4	Year 1

Recommendation 8: EIP-1559 Parameter Optimization

Priority: MEDIUM | **Timeline:** Q3 2026 | **Complexity:** LOW

Current State

Gonka's EIP-1559 implementation uses +-2% per-block adjustment with a 40-60% stability zone. Academic research (Ethereum Foundation) finds optimal adjustment rates between 6-11%, indicating Gonka's +-2% is conservative. At +-2%, convergence to equilibrium takes ~40 blocks; at +-4%, only ~20 blocks.

Proposed Enhancement

Test and deploy +-4% adjustment rate on mainnet after 6-month baseline data collection.

Parameter Comparison:

Parameter Set	Convergence Speed	Volatility	Developer UX	Recommendation
+-2% (current)	40 blocks	Low	Excellent	Keep as default for first 6 months

Parameter Set	Convergence Speed	Volatility	Developer UX	Recommendation
+/-4% (proposed)	20 blocks (50% faster)	Moderate	Good	Deploy after testnet validation
+/-6%	14 blocks	Moderate-High	Fair	Reserve for high-volume periods only
Asymmetric +4%/-2%	Fast up, slow down	Moderate	Good	Consider if demand is bursty

Implementation Roadmap:

Phase	Timeline	Action
Baseline	Month 0-6	Collect convergence data at +/-2%
Testnet	Month 6-9	A/B test +/-4% vs +/-2% on testnet with simulated load
Governance proposal	Month 9	Present data, propose +/-4% upgrade
Mainnet deployment	Month 10+	Deploy if governance approves
Adaptive (future)	Year 2+	+/-2% baseline, +/-4-6% during extreme utilization

Expected Impact

- 50% faster fee market convergence during demand spikes
- Better responsiveness to GPU market price moves in either direction (EIP-1559 adjusts faster to competitive pressure)
- Acceptable volatility increase (within Ethereum Foundation's stable range)

Implementation Complexity

- Configuration change: Single parameter update in consensus code
- Testnet validation: 4-8 weeks of testing
- No smart contract changes required

Risk Assessment

Risk	Probability	Impact	Mitigation
Higher fee volatility annoys developers	Low	Low	Still well within Ethereum's 6-11% optimal range
Overshoot during demand spikes	Low	Low	4% is conservative end of optimal range

Success Metrics

KPI	Target	Timeline
Convergence time	<25 blocks (from 40)	Post-deployment
Fee stability (coefficient of variation)	<15%	Ongoing
Developer churn from pricing	Zero attributable	Ongoing

Recommendation 9: GPU Pricing Competitive Tracking

Priority: MEDIUM | **Timeline:** Immediate | **Complexity:** LOW

Current State

No systematic tracking of competitor GPU pricing exists – and 2026 has shown why it matters: after collapsing 64-81% over 2023-2025, H100 rental deflation stalled and partially reversed. As of July 2026 the H100 market median is \$2.29-3.12/hr (range ~\$1.40 budget to ~\$7-8 hyperscaler on-demand), with the most recent cohort data (AIMultiple GPU index, July 2026) putting the median at ~\$3.15/hr – at or slightly above the top of the band, i.e., mild firming rather than pure stabilization. Drivers: the AI memory supercycle (decelerating from Q2's ~60% QoQ, but TrendForce raised its Q3/Q4 DRAM forecasts on July 8-9, so the 13-18% floor is now the conservative end) and surging inference demand. B200 – which shipped at the start of 2025, not Q3 2026 as the original draft assumed – rents for \$2.69-16.11/hr (median ~\$6.25); H200 cohort median is ~\$4.11/hr (\$2.30 FluidStack to \$13.78 Azure). Blackwell accounts for >70% of NVIDIA high-end shipments (led by GB300/B300). Vera Rubin is slightly delayed (KeyBanc, mid-July 2026: thermal heat-lid issues and SK Hynix HBM4 qualification; Rubin's share of 2026 shipments cut from ~29% to ~22%, and the four-die Rubin Ultra reportedly cancelled/scaled back), though

standard Rubin mass shipments to eight cloud partners remain on track for this summer – less 2026 Rubin supply supports continued firmness in H100/H200/B200 rental prices. Without competitive tracking, Gonka risks being mispriced in either direction without realizing it.

Proposed Enhancement

Deploy an off-chain pricing aggregator that tracks 10+ GPU providers and publishes weekly competitive reports.

Tracked Providers:

Category	Providers	Data Points
Hyperscalers	AWS, Azure, GCP	On-demand, reserved, spot pricing per GPU
Specialized	CoreWeave, Lambda Labs	On-demand, commitment pricing
Decentralized	Akash, Vast.ai, RunPod, io.net	Spot, on-demand pricing
API providers	OpenAI, DeepSeek, Anthropic	Per-token pricing for comparable models

Output:

Deliverable	Frequency	Audience
Competitive pricing dashboard	Real-time (hourly updates)	Internal team, governance
Weekly competitive report	Weekly	Governance, community
GPU Price Index	Daily	Oracle feed (future, Rec #5)
EIP-1559 base price recommendation	Monthly	Governance vote

Phase 2 (Month 6+): Feed GPU pricing data to Pyth Network as custom publisher for on-chain integration with oracle-based pricing (Rec #5).

Expected Impact

- Early warning when Gonka becomes uncompetitive
- Data-driven EIP-1559 base price calibration
- Foundation for automated oracle-based pricing (Rec #5)

Implementation Complexity

- Off-chain service: 2-3 weeks development (API scraping, aggregation)
- Dashboard: 1-2 weeks (web interface)
- Operational cost: Minimal (API calls, hosting)

Risk Assessment

Risk	Probability	Impact	Mitigation
Provider API changes	Medium	Low	Monitor and update scrapers; multiple redundant sources
Data accuracy	Low	Medium	Cross-validate across providers; flag outliers

Success Metrics

KPI	Target	Timeline
Dashboard live	Tracking 10+ providers	Month 1
Weekly reports published	Consistent cadence	Ongoing
Pricing action taken from data	At least 1 governance proposal	Quarter 1

Recommendation 10: veGNK Advanced Features (Phase 2-3)

Priority: LOW-MEDIUM | **Timeline:** 2027 | **Complexity:** HIGH

Current State

veGNK Phase 1 (Rec #6) provides basic locking and voting. Advanced features (boost mechanics, delegation, quadratic voting for specific decisions) are not included in Phase 1 to reduce launch risk.

Proposed Enhancement

Phase 2 (Q1-Q2 2027) – Boost + Delegation:

Feature	Specification
Yield boost	1x-2.5x multiplier on AI Training Fund yield based on veGNK/staked GNK ratio
Delegation	veGNK holders can delegate voting power to trusted representatives
Delegation trigger	Implement only if governance participation < 10% of veGNK
Max lock extension	Consider extending max lock from 2 years to 4 years based on Phase 1 adoption data

Phase 3 (Q3-Q4 2027) – Advanced Governance:

Feature	Specification
Host-gated quadratic voting	$\text{votes} = \sqrt{\text{GNK_held}}$ for Community Pool allocation decisions only
Sybil resistance	GPU host identity (verified by Sprint Consensus) as identity layer
Scope limitation	Quadratic voting only for host-specific governance (not protocol-wide)
Standard voting	veGNK linear voting remains default for all non-host decisions

Quadratic Voting Limitation: Quadratic voting is only viable with Sybil resistance. Gonka's GPU host identity provides natural Sybil resistance (creating fake hosts requires buying real GPUs). Quadratic voting is therefore limited to host-gated decisions where GPU ownership serves as identity.

Expected Impact

- Boost mechanics drive veGNK lock rate from 25% to 40-50%
- Delegation increases effective governance participation
- Quadratic voting reduces whale dominance in Community Pool decisions
- 4-year max lock (if adopted) increases average lock duration and supply reduction

Implementation Complexity

- Boost contract: 4-6 weeks
- Delegation: 2-4 weeks
- Quadratic voting with host identity: 8-12 weeks (complex Sybil resistance integration)
- Multiple audits required
- Total: 6-9 months for full Phase 2-3

Risk Assessment

Risk	Probability	Impact	Mitigation
Boost gaming	Medium	Low	veGNK/staked ratio prevents easy manipulation
Delegation centralization	Medium-High (demonstrated: July 2026 guardian-delegation incident, epochs 328-329)	Medium	Monitor delegate concentration; cap maximum delegated power; exclude or cap guardian/genesis entities as delegates per the July 15, 2026 network guidance
Quadratic voting Sybil attack	Low (host-gated)	Medium	GPU hardware requirement makes Sybil expensive
Complexity deters users	Medium	Low	Excellent documentation, phased rollout, simple UI

Success Metrics

KPI	Target	Timeline
veGNK lock rate with boost	>40%	6 months post Phase 2
Delegation adoption	>20% of veGNK delegated	6 months post Phase 2
Governance participation	>25% of veGNK voting	6 months post Phase 2

5. Implementation Roadmap

Phase A: Quick Wins (0-3 Months)

Investment: Low | **Impact:** Demand-side growth foundation and monitoring

Action	Recommendation	Week	Deliverable
Deploy fee transition dashboard	Rec #1	1-4	Live dashboard with all monitoring metrics
Launch developer free tier	Rec #4	1-2	100 free inferences/day for new signups
Publish “OpenAI to Gonka” migration guide	Rec #4	2-4	Documentation + live API playground
Deploy GPU pricing tracker	Rec #9	2-5	Dashboard tracking 10+ providers
Distribute \$50 compute credits	Rec #4	4-8	Credit distribution to 2,000 developers
Draft GIP-001 (POL governance proposal)	Rec #2	4-8	Proposal ready for community vote
Submit contingency framework for governance approval	Rec #1	4-8	Pre-approved trigger thresholds
Sponsor first hackathon	Rec #4	8-12	100+ developer participants

Phase A Expected Outcomes:

- 3,500-4,000 active developers (from 2,200)
- Fee transition monitoring operational
- POL governance vote in progress
- GPU competitive positioning understood

Phase B: Core Enhancements (3-9 Months)**Investment:** Medium | **Impact:** Sustainable economic model

Action	Recommendation	Month	Deliverable
Execute POL deployment (post-governance vote)	Rec #2	3-4	\$40-45M liquidity deployed
Integrate Pyth + Chainlink oracle stack	Rec #5	3-5	GNK/USD price feeds live
Deploy oracle-based USD pricing engine	Rec #5	5-7	USD-denominated inference pricing
Deploy buyback-and-burn smart contract	Rec #3	5-7	Continuous TWAP buyback active
Deploy veGNK Phase 1 contract	Rec #6	6-9	Locking + voting live on mainnet
Deploy yield distribution contract	Rec #3	7-9	veGNK stakers earning real yield
Deploy floor price defense contract	Rec #7	7-9	Tiered TWAP defense active
Testnet +-4% EIP-1559	Rec #8	6-9	A/B test results
Launch LangChain/ LlamaIndex integration	Rec #4	6-9	Official SDK support
Launch university program (20 institutions)	Rec #4	6-9	2,000 student developers

Phase B Expected Outcomes:

- 8,000-10,000 active developers
- POL generating \$550K-\$1.1M annual fee revenue
- Buyback engine actively burning GNK
- veGNK live with >15% initial lock rate
- Floor defense operational with \$2M+ treasury
- Oracle-based pricing eliminates dual volatility

Phase C: Advanced Features (9-18 Months)**Investment:** High | **Impact:** Long-term alignment and decentralization

Action	Recommendation	Month	Deliverable
Deploy +-4% EIP-1559 on mainnet	Rec #8	9-10	Faster fee convergence
Deploy veGNK Phase 2 (boost + delegation)	Rec #10	12-15	2.5x yield boost, delegation
Launch enterprise pilot program	Rec #4	12-18	20 enterprise accounts
Deploy host-gated quadratic voting	Rec #10	15-18	QV for Community Pool decisions
Custom Pyth GPU pricing publisher	Rec #9	12-15	On-chain GPU pricing
Evaluate max lock extension to 4 years	Rec #10	15-18	Governance proposal if data supports

Phase C Expected Outcomes:

- 15,000-20,000 active developers
- veGNK lock rate at 35-50%
- Governance fully decentralized (flash loan proof, time-weighted)
- Enterprise revenue stream established
- Full oracle stack operational

6. Risk Matrix

#	Recommendation	Risk	Probability	Impact	Mitigation
1	Fee Monitoring	Monitoring fails to predict transition risk	Low	High	Multiple data sources, conservative thresholds
1	Fee Monitoring	Tail emission philosophical opposition	Medium	Medium	Time-limited activation, declining rate, community education
2	POL	Impermanent loss in bear market	Medium	Medium	Concentrated ranges, diversified pairs, fee revenue offsets IL
2	POL	Paired asset shortage (USDC/ETH)	Medium-High	Medium	Phased deployment, OTC negotiation, partial start
2	POL	Governance rejects POL allocation	Low	High	ROI analysis: 100% retention vs 15-25%, \$0.50 vs \$10 per \$1
3	Revenue	Regulatory classification as security	Low (reduced by 2026 SEC "Project Crypto" posture and pending July 2026 safe-harbor rulemaking)	High	Position yield as governance/utility participation; track the SEC's July 2026 proposed rules (still at OIRA; operative rule quarters away) and the CLARITY Act (no vote scheduled as of July 17-18; passage odds ~43%) for final certainty
3	Revenue	Revenue too low for meaningful impact	Medium (early)	Low	Mechanism scales automatically;

#	Recommendation	Risk	Probability	Impact	Mitigation
					compound over time
4	Developers	Free tier abuse	Medium	Low	Rate limiting, progressive verification
4	Developers	Growth targets missed	Medium	High	Multiple channels, adjust budgets, extend timeline
5	Oracle	Oracle manipulation	Very Low	High	Dual-oracle validation, deviation checks, TWAP smoothing
5	Oracle	GNK/USD feed creation delays	High	Medium	Self-fund Pyth publisher; use off-chain interim
6	veGNK	Low adoption (<20% lock rate)	Medium	Medium	Real yield incentive, minimum 1-month barrier
6	veGNK	Governance concentration by founders	Medium	High	Monitor, delegation, voluntary caps
6	veGNK	Smart contract vulnerability	Low	Very High	Formal verification, multiple audits, time-locked upgrades
7	Floor Defense	Treasury depletion in prolonged bear	Medium	High	Stop conditions, governance override, revenue replenishment
7	Floor Defense	Market interprets floor defense as weakness	Low	Medium	Transparent on-chain triggers signal stability, not crisis
8	EIP-1559	Higher volatility annoys developers	Low	Low	+/-4% is conservative end of optimal 6-11% range
9	GPU Tracking	Competitor data becomes unavailable	Medium	Low	Multiple redundant sources; manual fallback
10	veGNK Adv.	Complexity deters adoption	Medium	Low	Phased rollout, excellent documentation, simple UI

7. Dependencies and Sequencing

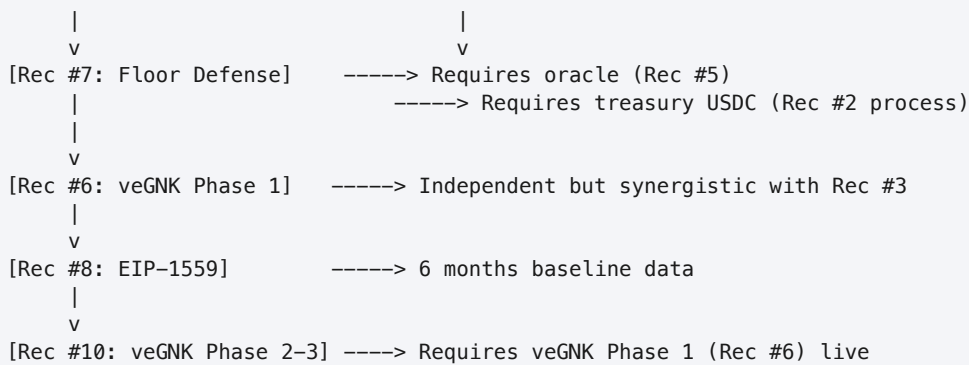
Dependency Graph

```

[Rec #1: Fee Monitoring] -----> No dependencies (IMMEDIATE)
[Rec #4: Developer Growth] -----> No dependencies (IMMEDIATE)
[Rec #9: GPU Tracking] -----> No dependencies (IMMEDIATE)

[Rec #2: POL] -----> Governance vote, paired assets
                        |
[Rec #5: Oracle Pricing] -----> Pyth/Chainlink integration
                        |
                        v
[Rec #3: Revenue/Buyback] -----> Requires DEX liquidity (Rec #2)
                        |
                        -----> Requires oracle (Rec #5, partial)

```



Critical Path

The critical path runs through oracle integration:

1. **Month 0:** Start Rec #1, #4, #9 (no dependencies)
2. **Month 1-2:** Begin Pyth/Chainlink integration (Rec #5) and POL governance (Rec #2)
3. **Month 3-4:** Deploy POL (Rec #2), completing liquidity prerequisite
4. **Month 4-5:** Oracle live (Rec #5), enabling USD pricing
5. **Month 5-7:** Deploy buyback (Rec #3) and floor defense (Rec #7) – both need oracle + liquidity
6. **Month 6-9:** Deploy veGNK (Rec #6) – independent but benefits from Rec #3 yield
7. **Month 9+:** Advanced features (Rec #8, #10) build on Phase B foundation

Parallelizable Items

Track	Items	Can Run Simultaneously
Monitoring Track	Rec #1, #9	Both start immediately, independent
Growth Track	Rec #4 (all phases)	Runs continuously alongside everything
Infrastructure Track	Rec #2, #5	POL and oracle integration in parallel
Smart Contract Track	Rec #3, #6, #7	Sequential (share audit resources)
Parameter Track	Rec #8	Independent, runs after 6-month baseline

8. Open Questions for Governance

The following decisions require community governance votes. Recommended voting parameters and discussion timelines are provided.

#	Decision	Recommended Vote	Quorum	Discussion Period	Impact
1	GIP-001: Allocate 22M GNK to POL	FOR: Deploy as specified. AGAINST: Maintain status quo.	33.4%	2 weeks discussion + 7 days voting	Largest single Community Pool allocation
2	Revenue restructure from 70/20/10 to 70/20/5/5	FOR: Implement enhanced allocation. AGAINST: Keep 10% unallocated.	33.4%	2 weeks discussion + 7 days voting	Activates buyback + yield mechanisms
3	Contingency trigger thresholds	FOR: Approve triggers A, B, C as specified. AGAINST: No pre-approved contingencies.	33.4%	1 week discussion + 7 days voting	Pre-authorizes emergency responses
4	Floor defense treasury allocation	FOR: Allocate up to 6M GNK/year + 5-10% revenue. AGAINST: No floor defense.	33.4%	2 weeks discussion + 7 days voting	Commits treasury to price stability

#	Decision	Recommended Vote	Quorum	Discussion Period	Impact
5	veGNK deployment approval	FOR: Deploy veGNK with specified parameters. AGAINST: Keep 1-token-1-vote.	33.4%	3 weeks discussion + 7 days voting	Fundamental governance change
6	EIP-1559 +-4% upgrade	FOR: Increase to +-4%. AGAINST: Keep +-2%.	33.4%	1 week discussion + 7 days voting	Parameter change after testnet data
7	Tail emission activation (contingency only)	FOR: Activate 10,000 GNK/day. AGAINST: No tail emissions.	50% (elevated)	4 weeks discussion + 14 days voting	Supply cap modification – requires elevated quorum

Suggested Governance Timeline:

Month	Governance Actions
Month 1-2	GIP-001 (POL), contingency triggers
Month 3-4	Revenue restructure, floor defense
Month 5-6	veGNK deployment
Month 9-10	EIP-1559 upgrade (after testnet data)
As needed	Tail emission (contingency only)

9. Appendix: Key Data Points

Quick reference for decision-makers – the most important numbers from all research.

Token Supply

Item	Value
Total supply	1,000,000,000 GNK
Mining allocation	680,000,000 GNK (68%)
Community Pool	120,000,000 GNK (12%)
Founder allocation	200,000,000 GNK (20%)
Initial epoch reward	323,000 GNK/day
First halving	~Year 4 (152,440 GNK/day)
Second halving	~Year 8 (71,929 GNK/day)
90% emitted by	~Year 10

GNK Market (July 17-18, 2026)

Item	Value
GNK price	~\$0.13 (CoinMarketCap: \$0.1307, July 18; aggregators diverge – Crypto.com \$0.1334, Bitget \$0.2755, Coinpaprika \$0.44, CryptoRank \$0.2756 with a conflicting ATL of \$0.1462 on Jul 16 – treat CMC as canonical given thin liquidity)
Market cap	~\$13.85M
Circulating supply	~105.9M of 1B max
All-time high	\$2.61 (January 16, 2026)
All-time low	\$0.1258 (July 17, 2026)
Drawdown from ATH	~95%
Venues	OTC on HEX Exchange; SafeTrade (GNK/USDT); wrapped GNK. No major CEX listing (planned MEXC/Gate listings did not materialize)

Caution: the fake “Gonka AI” token on Solana (~\$0.00005, still live on Phantom/OKX as of July 2026) is unofficial and should not be cited.

Network Parameters

Item	Value
Participants	~113 independent participants running ~582 MLNodes (joingonka.ai, April 2026 snapshot; the “448 hosts (Feb 2026)” figure matches no live source and should not be used in income models)
GPUs	~1,178 active (joingonka.ai live counter, July 18, 2026), consistent with tracker.gonka.vip’s ~1,214 – use ~1,200 as the active-mining denominator. April 2026 snapshot was ~4,648; CoinMarketCap’s “~5,000 H100” is stale marketing text; announced Feb 2026 peak was ~14,000; Feb 2026 modeling baseline was 6,000
Live data sources	gonka.gg (free public API), gonkascan.com, gonkahub.com, tracker.gonka.vip
Developers	~2,200 (Feb 2026 estimate, unverified in July 2026)
EIP-1559 stability zone	40-60% utilization
EIP-1559 adjustment	+2% per block (current)
Governance quorum	33.4%
Host collateral	0.0625 GNK per nonce

Protocol changes since February 2026 (not yet modeled in this document): chain releases v0.2.11 (Mar 19), v0.2.12 (Apr 27), and v0.2.13 (May 20, 2026) shipped the devshard escrow system (MaxEscrowsPerEpoch = 500,000; MaxNonce raised from a hardcoded 20,000 to 1,000,000; broker allowlist), reduced GenesisGuardianMultiplier to 0.33334 (genesis guardian voting power cut from ~34% to ~25%), and added a guardian-controlled emergency switch for devshard inference. Devshard runtime v2 (Jun 15) and v3.0.0 (Jul 9, 2026) introduced a new broker/gateway inference path. Security hotfix v0.2.13-post7 (Jul 6, 2026) – the latest chain release – patched a PoC-v2 weight-validation vulnerability after host gonka1w7s4pharl5qs2lupxkuw2c0gzcls8chehwafg3 was detected exploiting it, the network’s first publicly disclosed live exploit attempt. The v0.2.14 chain upgrade (PR open for review since Jul 8, 2026) adds PoC duplicate-artifact protection and deprecates the classic API – disabling billing on /v1/chat/completions – so all paid inference flows through the devshard/broker path; fee-infrastructure assumptions in Recs #3, #5, and #8 should be re-checked against it once merged. Gonka has also begun regular GiP governance meetings. The July 15, 2026 network update added explicit guidance against delegating to guardian nodes after concentrated guardian delegations cost Kimi K2.6 its validation majority (epochs 328-329) – guardians are now fallback-only, with delegation distribution across independent hosts pushed as a systemic-risk mitigation. The governance recommendations here (Recs #6, #10) should be re-checked against these live parameters before drafting proposals.

GPU Market (July 2026)

Item	Value
H100 market median	\$2.29-3.12/hr; latest cohort median ~\$3.15/hr (AIMultiple, Jul 2026) – mild firming
H100 hyperscaler on-demand (Azure/AWS)	~\$7-8/hr
H100 budget decentralized/specialized	\$1.40-3.50/hr (floor: Thunder Compute ~\$1.40)
H100 price decline, 2023-2025	64-81% (deflation stalled/partially reversed in 2026)
H200 cohort median	~\$4.11/hr (\$2.30 FluidStack to \$13.78 Azure)
B200 (shipped start of 2025)	\$2.69-16.11/hr, median ~\$6.25 (floor \$3.20 Runcrate; spot \$2.74 Spheron); expected ~\$2.50-3.00 at majors by Q4 2026 (Feb 2026 estimate)
NVIDIA high-end mix, 2026	Blackwell >70% of shipments, led by GB300/B300; Vera Rubin slightly delayed (thermal heat-lid, HBM4 qualification; 2026 share cut ~29% -> ~22%, ~1.7-1.8M units; Rubin Ultra reportedly cancelled/scaled back), standard Rubin mass shipments still on track for summer 2026
Price drivers	AI memory supercycle, decelerating but revised upward (TrendForce Jul 8-9: PC DRAM Q3 +15-20% QoQ, server DRAM +13-18%; ADATA reportedly sees DRAM +20-30%, NAND +35-40%), plus surging inference demand and reduced 2026 Rubin supply
GPU market CAGR	29.4% to \$33.9B by 2032 (Feb 2026 estimate, unverified)

Fee Transition Crossover Points (modeled scenarios, Feb 2026)

GNK prices below are scenario assumptions, not forecasts. At the actual ~\$0.13 GNK (July 2026), crossover falls beyond even the conservative case.

Scenario	Assumed GNK Price	Crossover Year
Conservative (10% dev growth)	\$1.00	Year 4
Conservative	\$5.00	Year 8-9
Moderate (25% dev growth)	\$1.00	Year 1
Moderate	\$5.00	Year 3
Aggressive (50% dev growth)	Any	Year 1-2

POL Parameters (Feb 2026 sizing at \$1.00 GNK – rebase to live price; see Rec #2)

Item	Value
Recommended allocation	22M GNK (18.3% of Community Pool; ~\$2.9M at \$0.13 GNK)
GNK/USDC split	60% (13.2M GNK)
GNK/ETH split	40% (8.8M GNK)
Fee tier	0.3% (both pairs)
Target liquidity depth	\$40-45M (at \$1.00 GNK)
Expected LP fee revenue	\$550K-\$1.1M/year (at \$1.00 GNK sizing)
Rebalancing cost	~\$900/year

Revenue Allocation

Item	Value
Hosts	70% of inference revenue (unchanged)
AI Training Fund	20% of inference revenue (unchanged)
Buyback-and-burn	5% of inference revenue (new)
veGNK yield pool	5% of inference revenue (new)
Base fee	100% burned via EIP-1559 (unchanged)
Surplus distribution	AI Fund balance > 6-month runway -> veGNK holders

veGNK Parameters

Item	Value
Lock range	1 month to 2 years
Voting power	Linear: $\text{GNK} \times (\text{remaining} / \text{max})$
Max boost (Phase 2)	2.5x on yield
Early exit	Not permitted
Transferability	Non-transferable
Collateral separation	veGNK separate from host collateral
Expected lock rate	35-50% at steady state

Floor Defense Parameters

Item	Value
Primary trigger	$\text{GNK} < 75\%$ of 30-day TWAP
Absolute trigger	Was \$0.45 (Feb 2026) – breached; reset at deployment
Crisis trigger	Was \$0.30 (Feb 2026) – breached; reset at deployment
Bitfury Schelling point	\$0.60 purchase price – failed (GNK ATL \$0.1258, Jul 17, 2026); Bitfury total commitment is \$50M (Dec 1, 2025), of which the \$12M purchase was the first tranche
Treasury target	2-5M USDC
Annual allocation	Up to 6M GNK + 5-10% revenue

Competitive Moats (updated July 2026)

Moat	Gonka	Competitors
Yield distribution to lockers	5% revenue + surplus to veGNK stakers	Still rare: no major AI compute network pays revenue to lockers

Moat	Gonka	Competitors
Buyback/burn	5% continuous TWAP burn (proposed, revenue-funded)	No longer unique in marketing: Akash BME live Mar 2026; io.net IDE live Jun 2026 (burn currently emission-funded, not revenue-funded); Render burn-mint; Bittensor emissions only
OpenAI-compatible API	Full compatibility (2-line migration)	Partial or none
Dynamic pricing (EIP-1559)	Automatic utilization-based adjustment	Static or manual pricing
Censorship resistance	Decentralized, permissionless	Varies (some centralized)
Productive compute	~100% of GPU cycles for AI tasks	Bitcoin: 0%, Bittensor: ~40%

This document is the capstone deliverable of Phase 1: Deep Macro-Tokenomics Research, updated July 18, 2026 to reflect verified market, competitive, regulatory, and protocol changes since the February 2026 draft. It is intended as a decision-ready strategy document for Gonka Network leadership. All recommendations have specific parameters, quantified impacts, and implementation timelines. For detailed research backing each recommendation, refer to the five Wave 1 research documents and three updated synthesis documents in the project archive (note: those companion documents predate this update and retain February-April 2026 assumptions).